

Module 7 - Customer Segments - sub modules

Pre Session [++45mins]	Session [++ min]	Post Session [++mins]
1. Quiz [3-5 mins] 2. Videos	1. Customer Segment 2. Post Session Brief (Tools)	1. Customer Segments (Activity) 2. Customer Persona (Activity) 3. Empathy Map (Activity) 4. Customer Journey Mapping (Activity) 5. Update BMC



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Getting Started with Entrepreneurship

Sathya Prasad

Centre for Innovation and Entrepreneurship (CIE)

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Customer Segments

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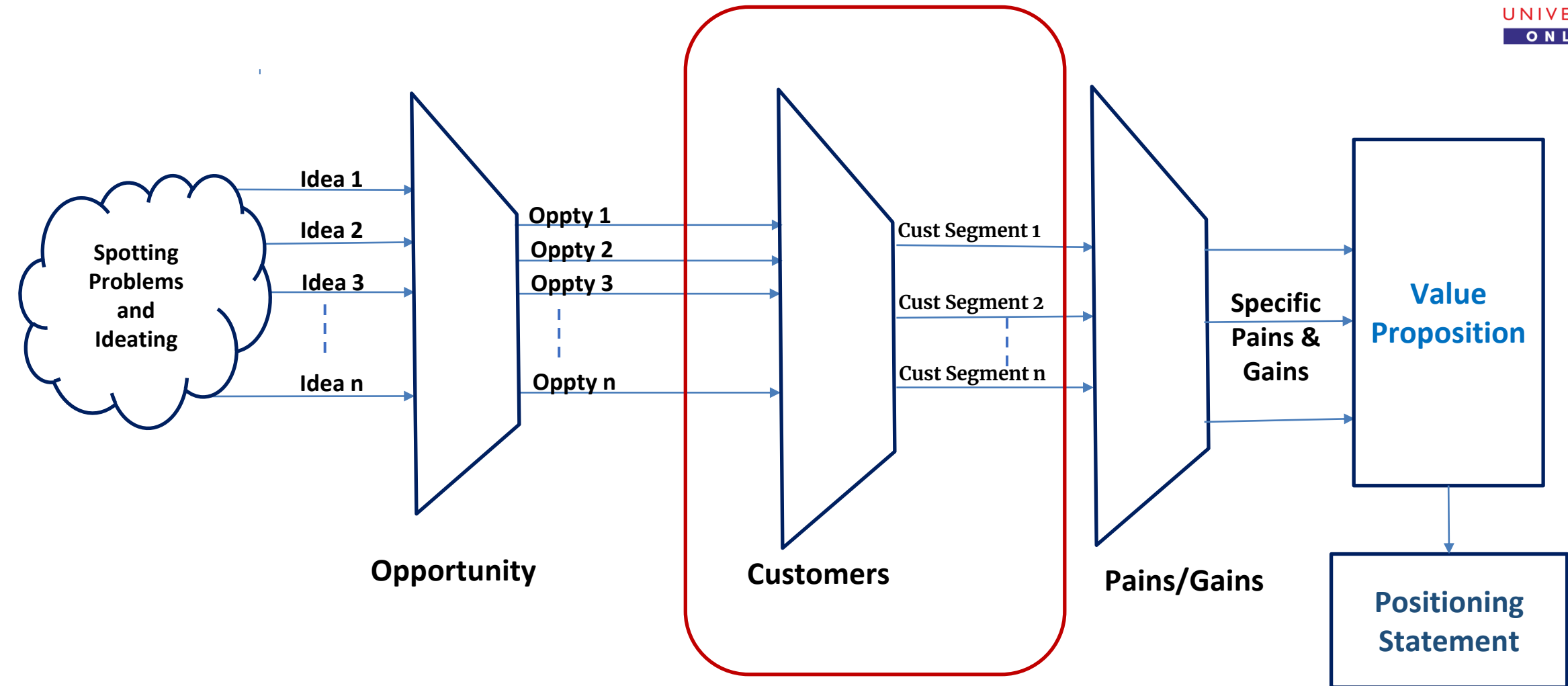
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Pre-Session Activities

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Course Map - You are here



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Customer Segment



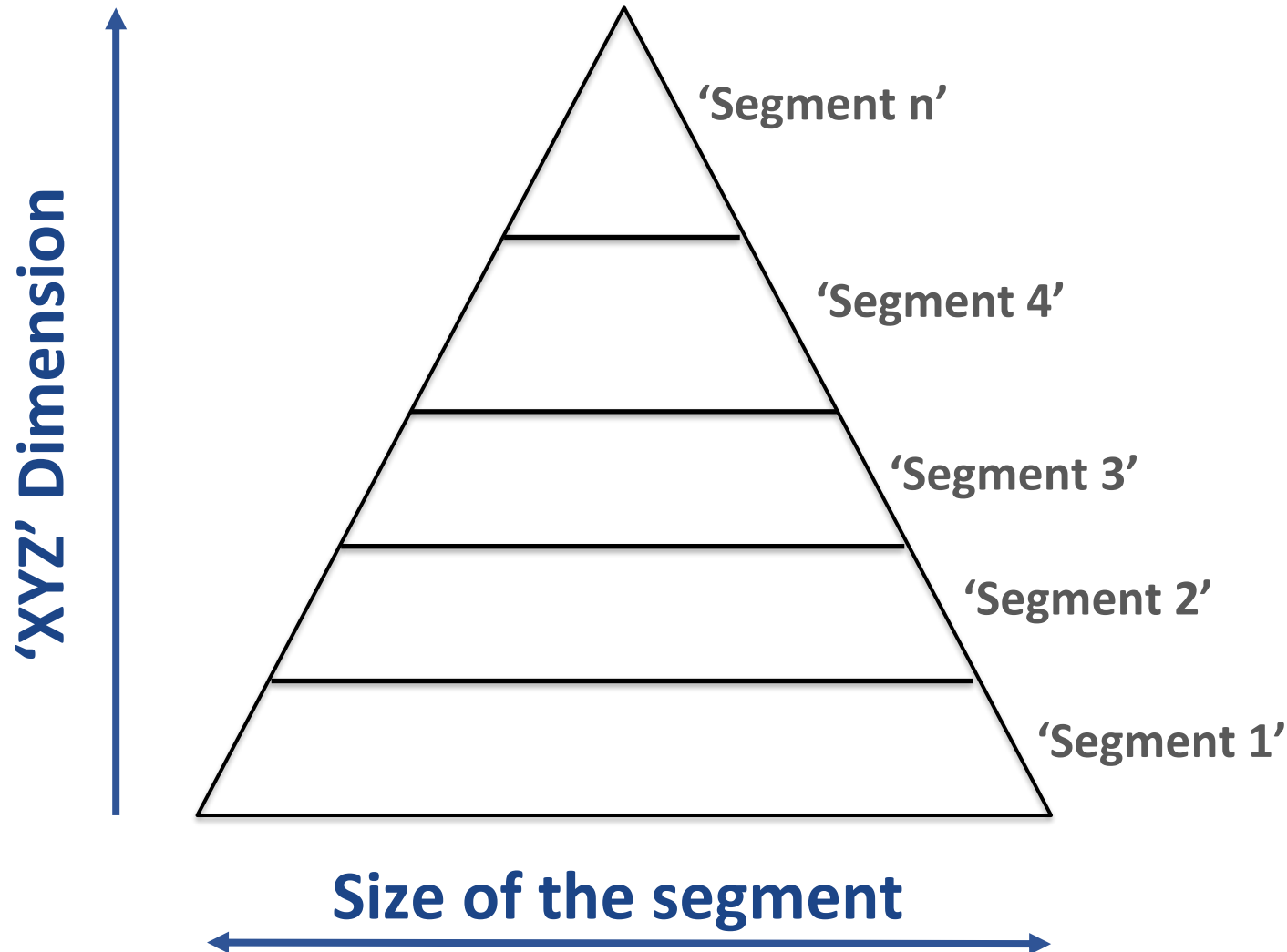
→ Groups of customers

→ Groups with similar* needs/wants relate to each other

(* demographics, geography/location, purchasing power, etc)

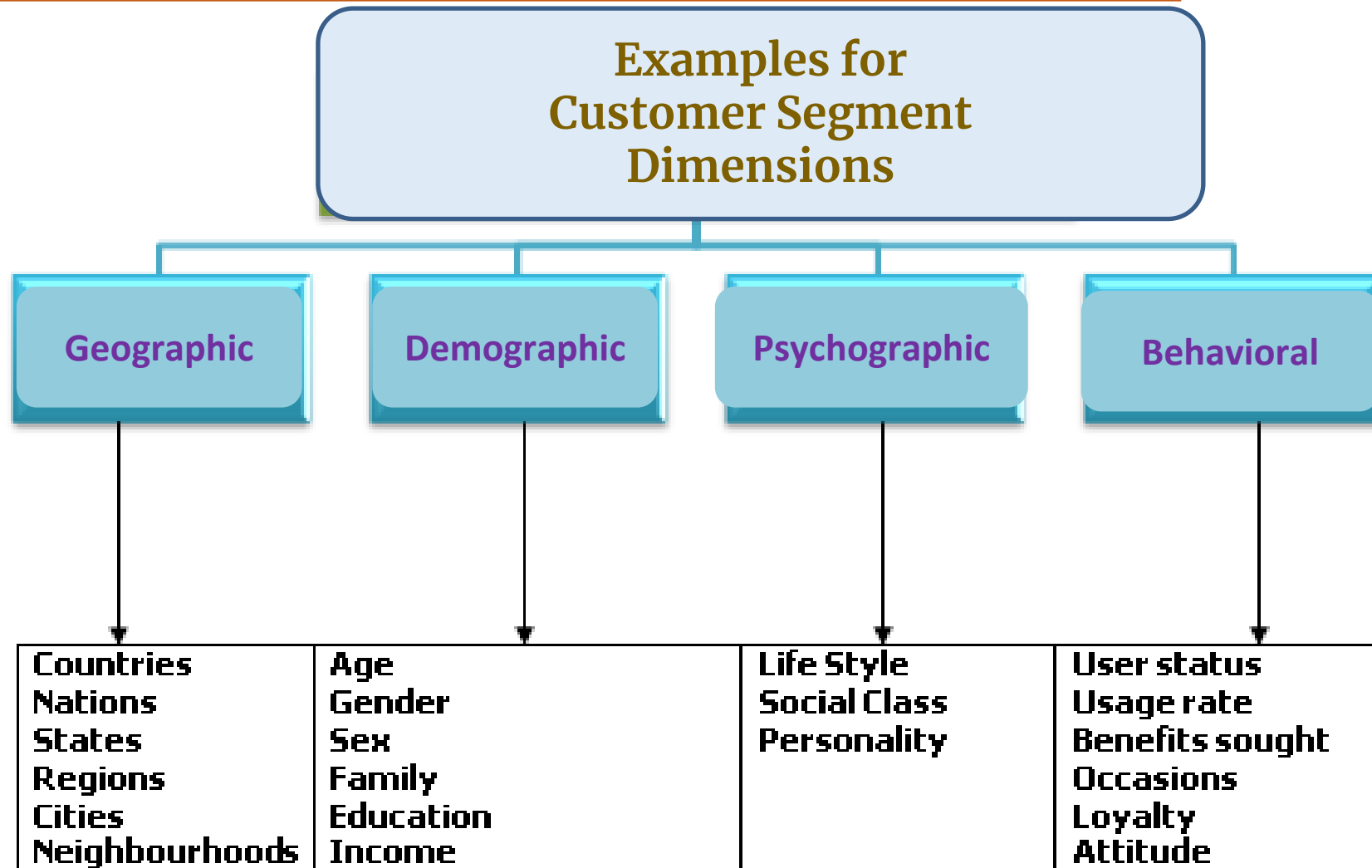
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Customer Segments



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Some Dimensions for Customer Segments



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Example1: Indian Car Market Segment

Car Segment	Length Of The Car	Examples
A1	Up to 3400mm	Nano
A2	3401 to 4000mm	Alto K10, Wagon R
A3	4001 to 4500mm	Dzire, Amaze
A4	4501 to 4700mm	Corolla, Cruze
A5	4701 to 5000mm	Accord, Camry
A6	More Than 5000mm	Audi A8L, Jaguar XJL
B1	Vans	Omni
B2	MUV/MPV	Innove, Safari Storme

Based on SIAM (Society of Indian Automobile Manufacturer

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Example2: Indian Car Market Segment

Car Segment	Price Of car	Examples
A	Hatchbacks Less than 3.5 Lakh	Alto, Nano
A1	Hatchbacks Less than 6 Lakh	Ritz, Grand i10
A2	Between 6-7.5 Lakh	Elite i20
B1	Vans	Eeco
B2	MUV/MPV	Innova, Bolero
C1	Sedans less than 8 Lakh	Amaze, Xcent
C2	Sedans less than 9.5 Lakh	City, Ciaz
D1	Sedans less than 15 Lakh	Cruze, Elantra
D2	Sedans less than 25 Lakh	Superb
SUV	SUV	Fortuner, XUV 500

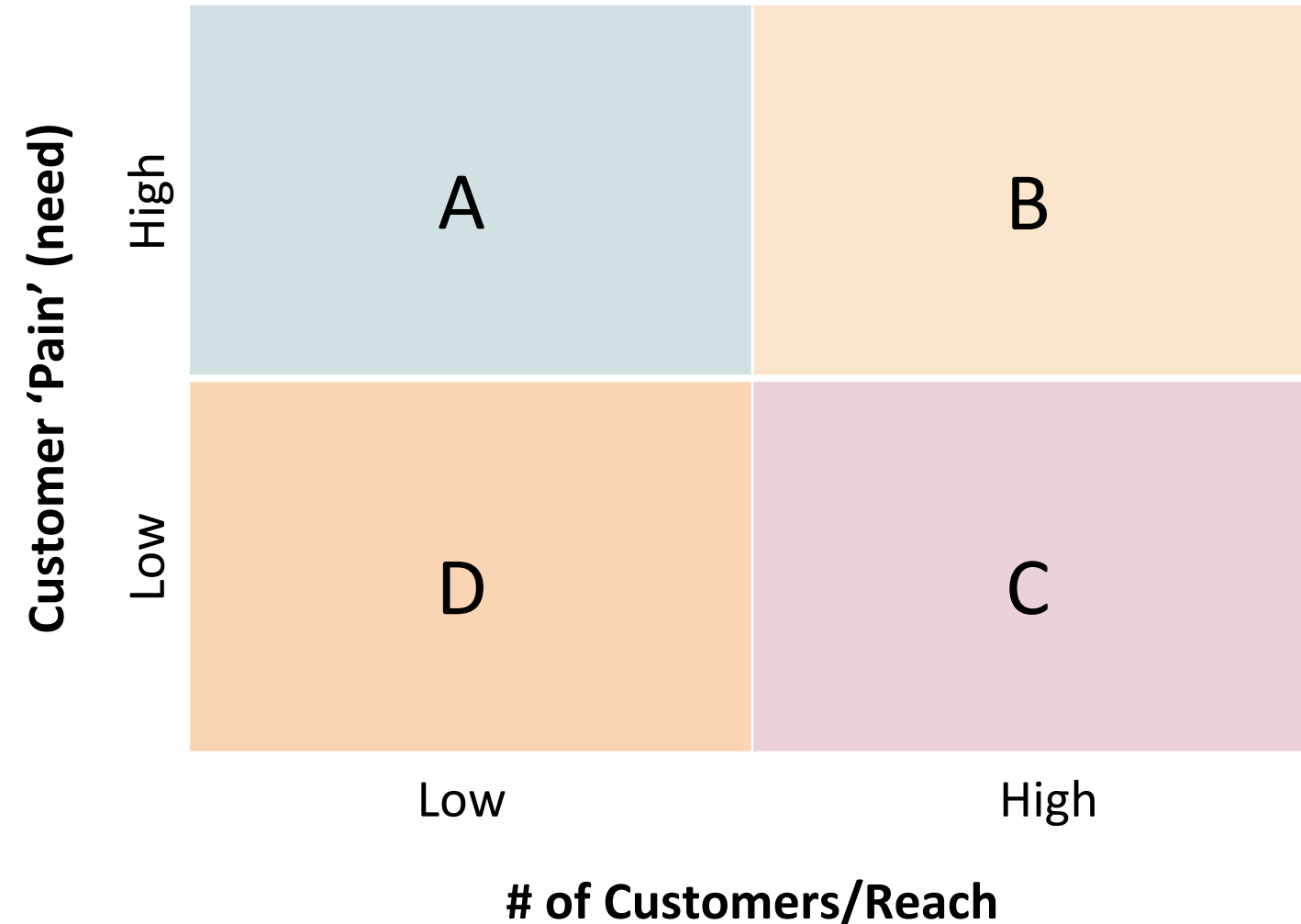
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Other car segments can you think of?



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POP Quiz: Identifying Customer Segments



1. Least desirable?
2. Most desirable for a startup?
3. What about 'A'?
4. What about 'C'?

NOTE:

This is not sufficient to arrive at target customer segment(s).

Apply relevant criteria (geography, team/resource profile, etc)

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Key Aspects - Customer Segments

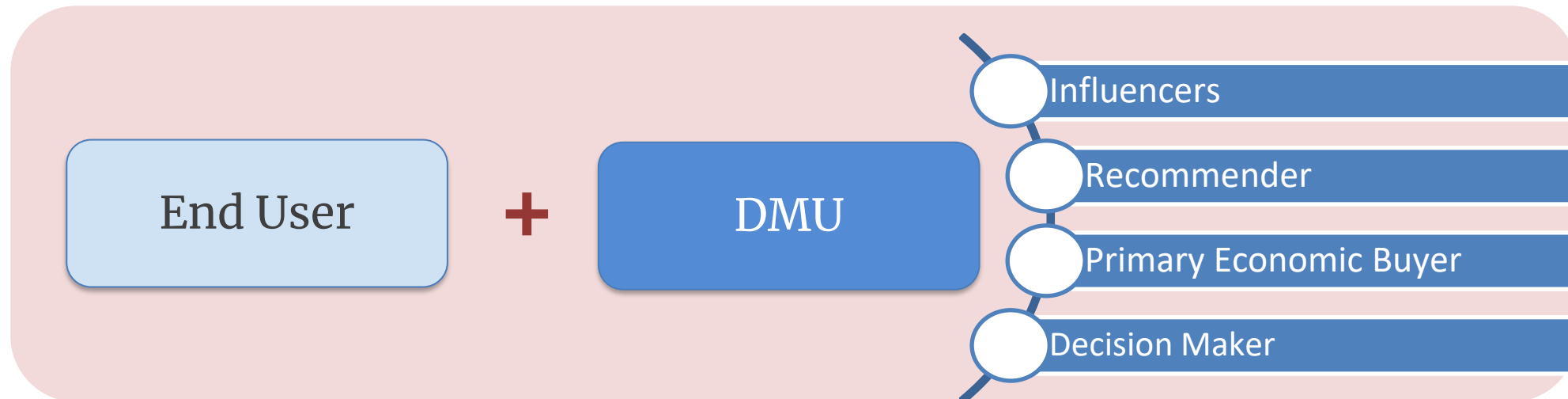


1. **Define Customer Segment(s) upfront!**
Can have 1 or more (specific) customer segments
2. **Be clear which customer segment(s) you want to serve**
(& which segment(s) you will not serve now)
3. **Focus on the chosen customer segment(s) needs**
4. **Your Customer Segment cannot be everyone!**

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End User – Is it the same as Customer?

- End User and Customer may / may not be the same
- Each customer consists of *end-user* & *decision-making unit (DMU)*
- End user is an integral part of decision-making unit



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Persona - End User Profile



- Gender
- Age range
- Income range
- Geographic location
- Lifestyle, Personality, etc

- Reason why they are buying the product? Savings? Image? Peer pressure?
- What is their *story*?
- Who is their role-model (hero)?
- What do they fear most?
- What makes them special / identifiable?

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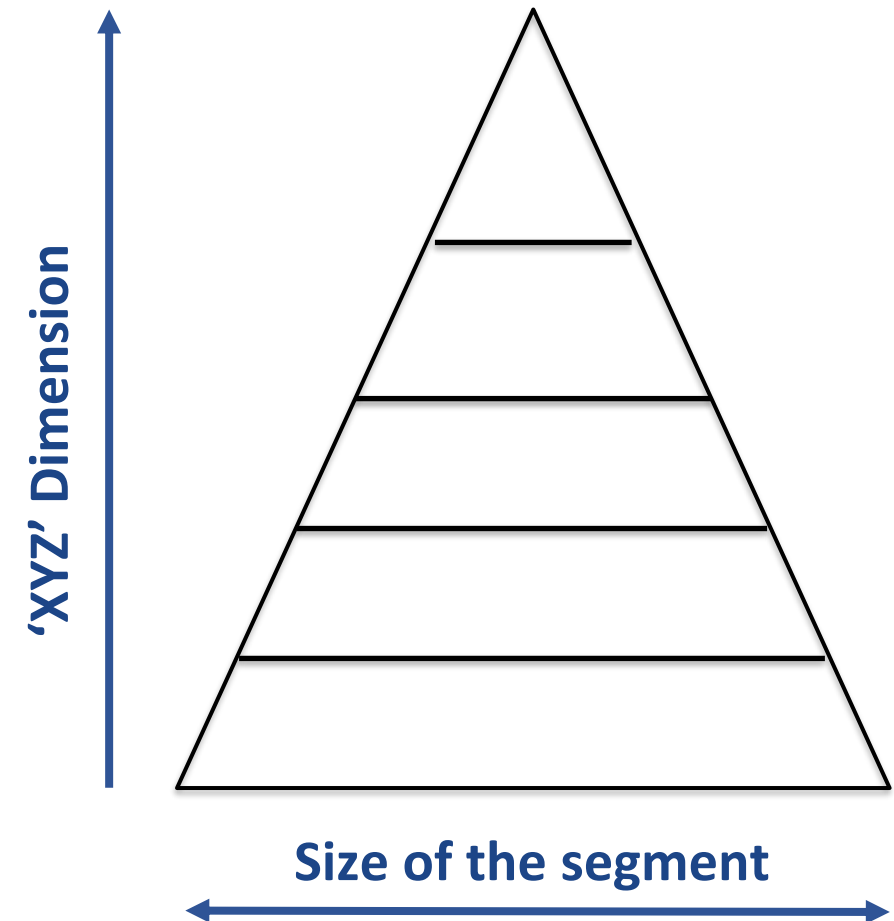
Post Session Brief

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Activity (Team) - Customer Segments

1. Identify your startup's Customers
2. Customer Segments?
Who's 'In' and Who's 'Out'?



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Activity (Team) - Customer Persona

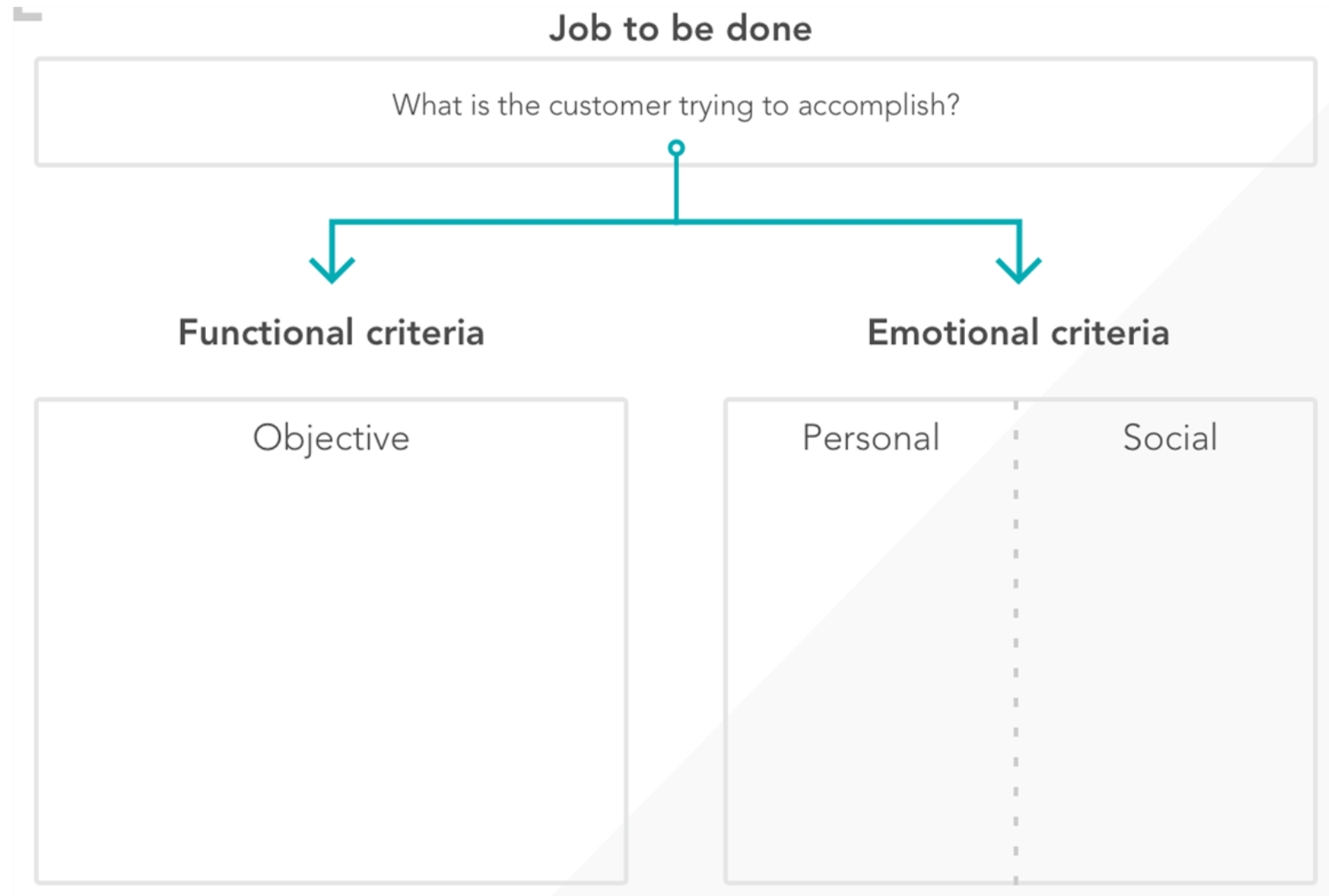
Persona

PivotBot.

Customer Name & Image:	Demographic:		
Bio/Journey/Story:		Goals/Jobs <i>Use 'Job-to-be-Done' template</i>	
Motivations/Gains:		Frustrations/Pains	

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Activity (Team) - Customer Persona



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Activity (Team) - Empathy Map

Empathy Map Canvas

Designed for:

Designed by:

Date:

Version:

1 WHO are we empathizing with?

Who is the person we want to understand?
What is the situation they are in?
What is their role in the situation?

GOAL

2 What do they need to DO?

What do they need to do differently?
What job(s) do they want or need to get done?
What decision(s) do they need to make?
How will we know they were successful?

7 What do they THINK and FEEL?

PAINS

What are their fears,
frustrations, and anxieties?

GAINS

What are their wants,
needs, hopes and dreams?

3 What do they SEE?

What do they see in the marketplace?
What do they see in their immediate environment?
What do they see others saying and doing?
What are they watching and reading?

6 What do they HEAR?

What are they hearing others say?
What are they hearing from friends?
What are they hearing from colleagues?
What are they hearing second-hand?

4 What do they SAY?

What have we heard them say?
What can we imagine them saying?

5 What do they DO?

What do they do today?
What behavior have we observed?
What can we imagine them doing?

What other thoughts and feelings might motivate their behavior?

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Activity (Team) - Customer Journey Mapping



Step 1: Create a customer persona (Example user)

Step 2: Explore the interaction of your customer persona with your “product”

Step 3: Share on Team wall.

Some ideas / methods.

1. Take pictures and string them together as a comic
2. Storyboarding (on paper or digitally)
3. Video (30-60 seconds)

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Activity (Team) - Update BMC



Update your BMC and post on Team Wall.



THANK YOU

Sathya Prasad

Director, CIE

Sathya.prasad@pes.edu

+91 80 2672 1983 Extn 761 [CIE Office: Extn: 851]